

sandwiches can this guy humanly sell in one day? Fifty? A hundred? How many hours are in the day? Twenty-four? See the similarity? The objective of units sold is to have an upper limit greater than 100. How about 10,000? Or 100,000? Is there anything this sandwich shop owner can do to sell more sandwiches in one day? Under his current structure, there isn't. He is limited in scale to his local trading area. He'll never sell a cold-cut combo to a man living in Australia, let alone the neighboring city. Scale is limited, causing this road to have a constricting speed limit, just like a Slowlane road.

To make matters worse, the other end of the equation is also limited: unit profit. What is the maximum unit profit on a sandwich and drink? Two bucks? Again, we are operating under a ceiling of low numbers. *These numbers don't transcend wealth; they limit wealth.*

Now let me clarify before you hammer me over the head: I'm not suggesting that a local restaurant owner can't get rich. In fact, I know a few restaurant owners who do quite well except that they operate a different class of restaurant—upscale establishments, where scale and magnitude have more reach. If your average dinner bill is \$200 and you draw patrons from all over the city, not just the local neighborhood, you operate on a different scale. Unit profit isn't \$2 per sandwich, but \$40 per person, and with alcohol it climbs to \$60.

REACH OR MAGNITUDE = SCALE

To achieve scale, *magnitude* or *reach* must increase. Magnitude is naturally increased with price or cost. If you sell Lamborghinis over Hyundais, you have greater magnitude simply by the implicit price of Lamborghinis. You are near Effecton (Lamborghini owners most likely exploit the Law of Effecton). If you are a real estate agent for the rich and sell multimillion dollar estates, you achieve magnitude implicit by price. Higher prices and cost implicitly drive magnitude. If you successfully sell the most expensive apartment building in Manhattan, you have had an effect of magnitude and realize scale. If you are operating with magnitude, you are near or at Effecton.

Reach, exclusive of magnitude, also achieves scale. Reach is massive numbers. The more people you reach, the greater scale potential. Who does your business serve? The local neighborhood? Or the world? The bigger your pool of play, the bigger your potential for wealth.

The guy stuck on Main Street selling sandwiches has no scale and no magnitude. Is there anything this guy can do to turn his \$40,000-per-year profit into \$400,000? Nope. He's done before he even started. He didn't buy a franchise; he bought a job. He will never get rich until he wakes up and realizes that scale is not reached selling one-buck-margin sandwiches to 100 people a day.